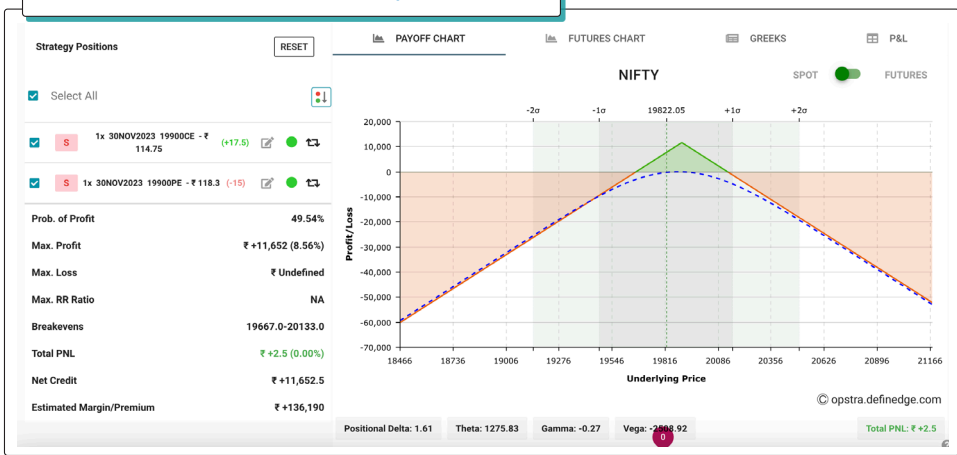


THE RULES OF ENGAGEMENT

In this section, the specific rules of the 3:00 p.m. Nifty Intraday Strategy are laid out. The chapter delves into the intricacies of the strategy, exploring the step-by-step approach to entering the market and identifying potential trading opportunities.

The key elements of the strategy include finding the money straddle and waiting for a 5% drop in both the call and put options. The chapter explains how traders leverage this drop to sell the options and establish their initial positions.



THE RULES OF THE STRATEGY ARE:

- We may find the CMP of ATM CE and PE at 3 PM.
- We will wait for the CMP to reduce by 5%. We will short sell the option whose premium reduces by 5%.
- Similarly we will find the CE and PE options which are trading around Rs 150 and we will short sell when it reduces by 5%.
- This is a partially hedged strategy, but since there is just 30 minutes remaining, we will put the stop loss on only the premium legs (Rs 150).
- We can put a small stoploss of 9% of the entry price.
- We may even do trailing of the stoploss so that we can safeguard our profits. For example, for every 10 points move on the downside, we may trail the stoploss by 5 points.
- We may exit all legs at 3:29 PM.